

IMARTICUS LEARNING

# Introduction to Accounting



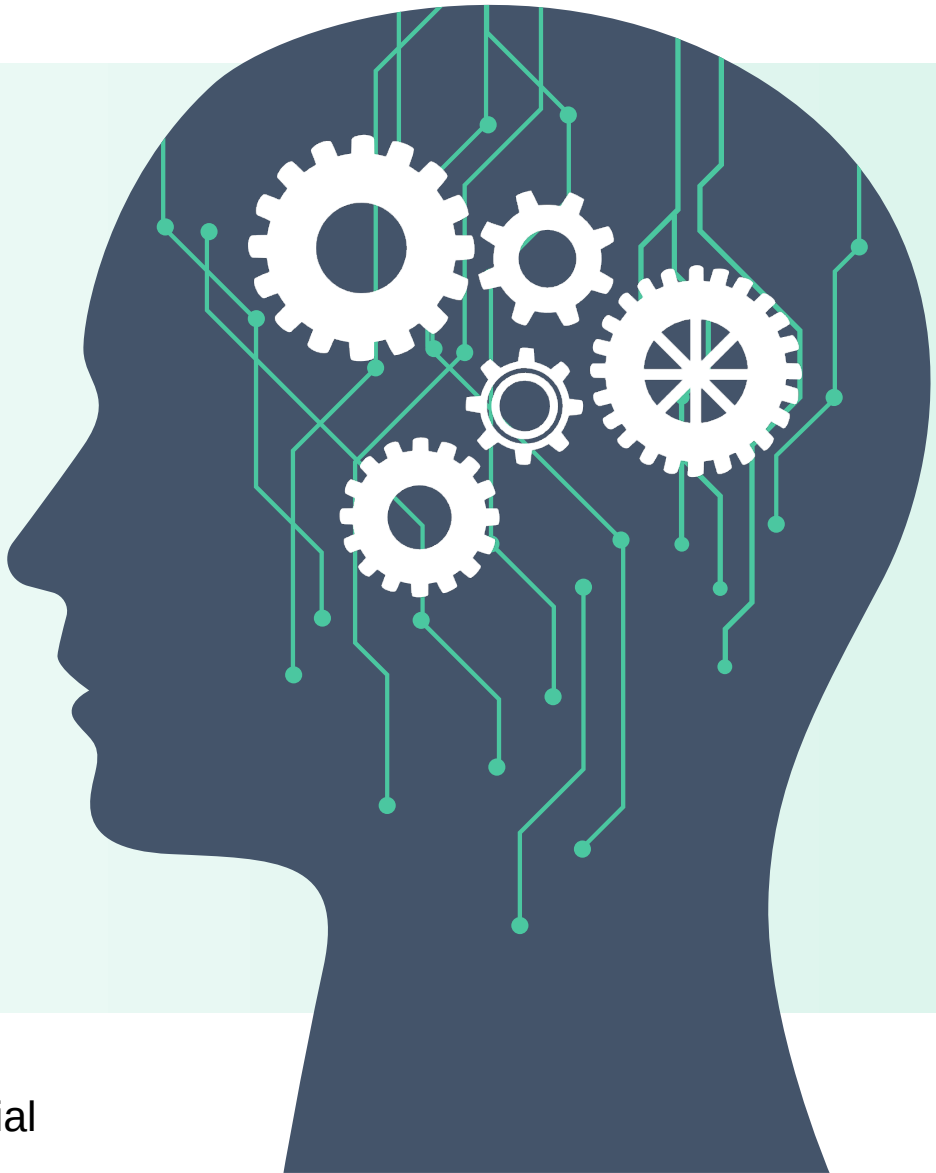
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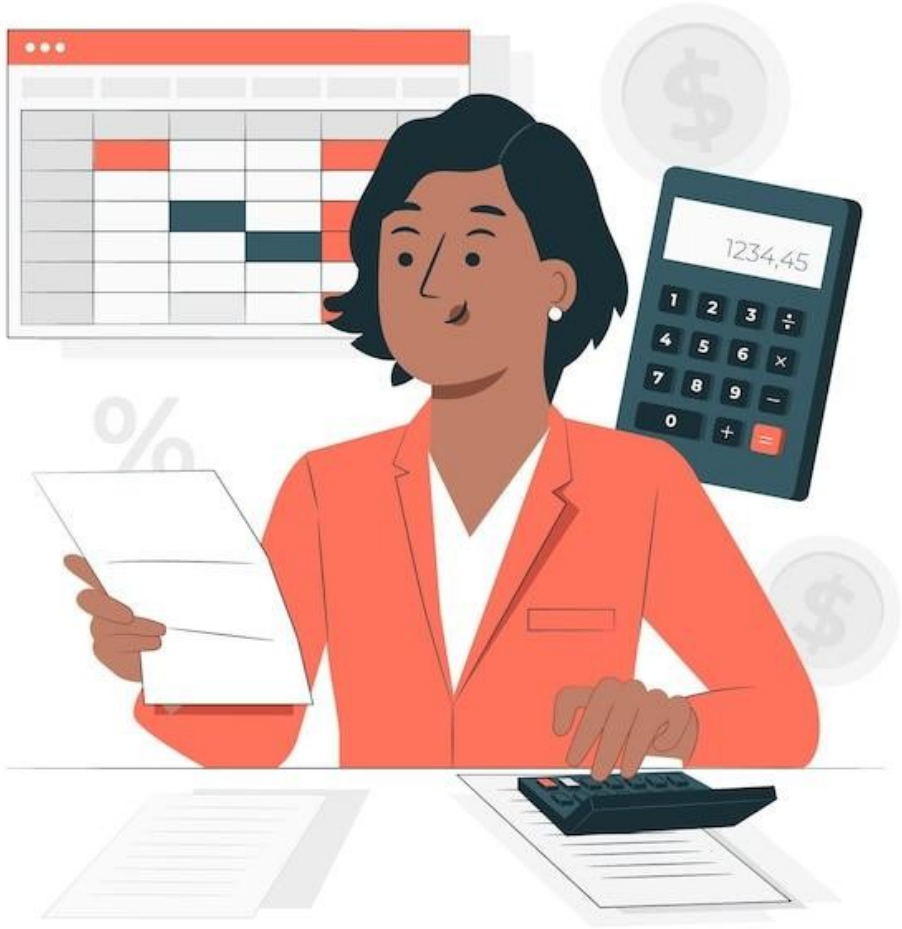
# YOU ARE GOING TO LEARN…

- Accounting Principles
- Types of Accounts with Examples
- Golden Rules of Accounting
- Accounting Process Cycle
- Accounting Financial Statements



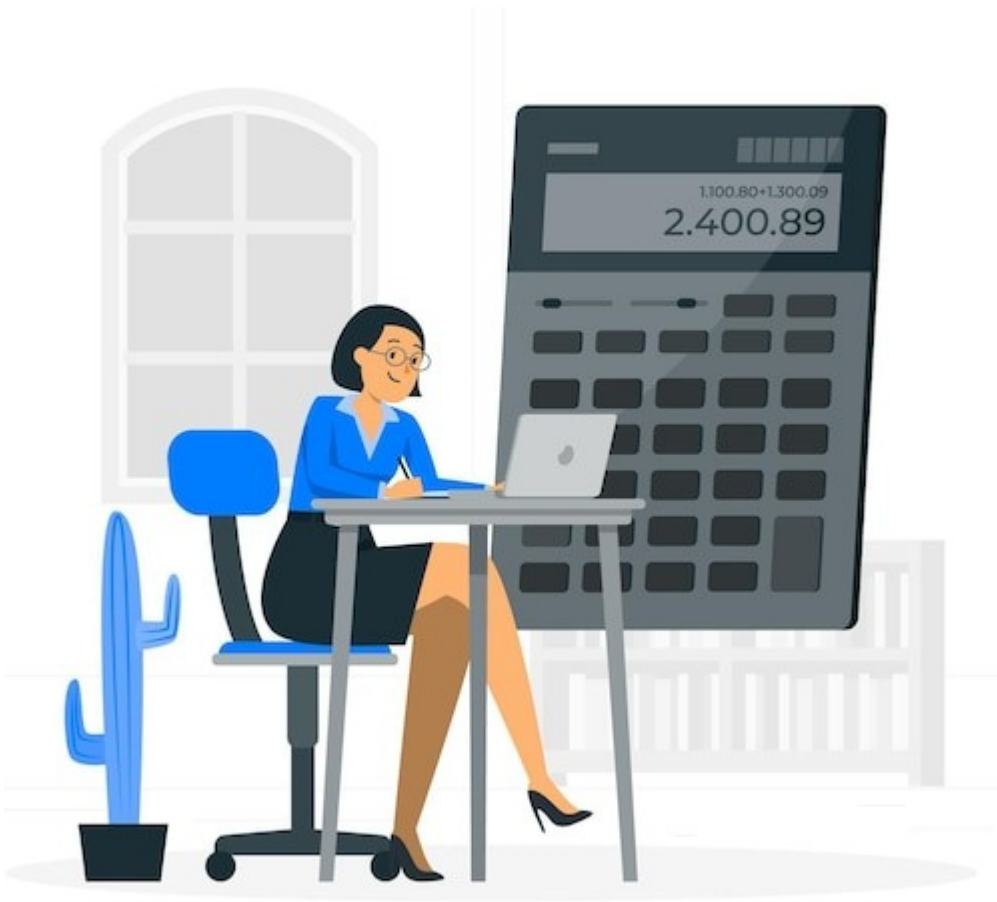
# ACCOUNTING

Accounting is the business language used to record the business transactions. The function of a language is to facilitate communication and the information about business entities regarding their operating performance and financial status. There are different users of this information such as proprietors, management, investors, customers, regulators and other government entities.



# OBJECTIVES OF ACCOUNTING

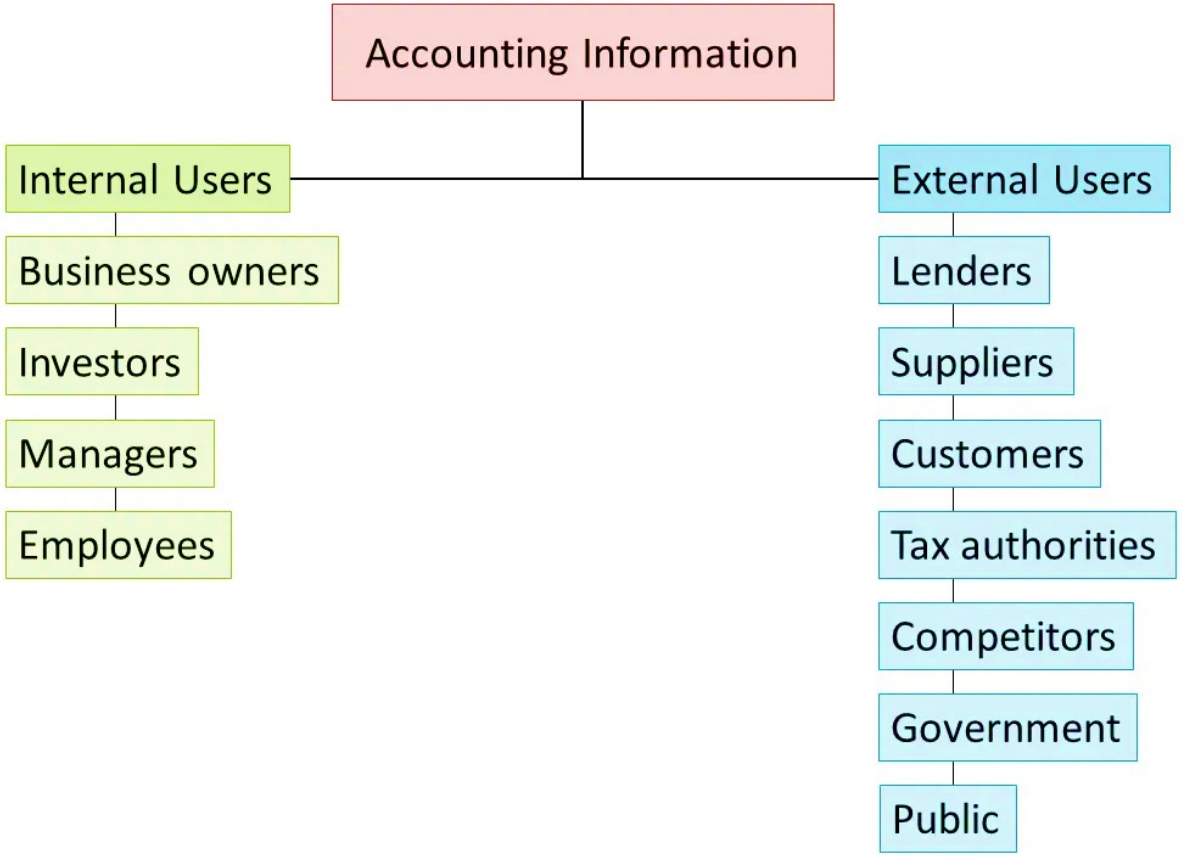
1. **Systematic record of financial transactions and events**
2. **Ascertain the profit or loss of the business**
3. **Ascertain the financial / Solvency/ Liquidity position of the business**
4. **Provide critical information to stakeholders**
5. **Information System**



# USERS OF ACCOUNTING INFORMATION

Internal stakeholders are those groups or persons who are **within** the organisation who use the accounting information for decision making and day to day management.

External stakeholders are those groups or persons who are **outside** the organisation for whom accounting function is performed.





# Accounting Principles

# ACCOUNTING PRINCIPLES

Accounting principles are the basic norms and assumptions developed and established as the basis for accounting system.

These principles are adopted by the accountants universally. These accounting principles provide uniformity and consistency in the accounting methods and process.

Such accounting principles are known as Generally Accepted Accounting Principles (GAAP).



# ACCOUNTING PRINCIPLES

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## Importance of Generally Accepted Accounting Principles (GAAPs) in Accounting

- The accounting profession relies on a generally accepted set of rules called GAAPs.
- GAAPs provide unity of understanding and approach in accounting practices, ensuring consistency in the preparation and presentation of financial statements.
- Accounting serves as the language of business, with financial statements communicating financial information to stakeholders for decision-making purposes.
- Uniformity in financial statement preparation is crucial to ensure comparability across different organizations and over time.
- The conceptual framework of accounting, including GAAPs and accounting standards, forms the theoretical foundation of the accounting system.
- These principles and standards define the parameters and constraints within which accounting reports are generated, establishing basic norms and assumptions for accurate and reliable financial reporting.

# ACCOUNTING CONCEPTS

Accounting concepts are the basic assumptions or conditions upon which accounting has been laid.

Accounting concepts are the results of broad consensus.

The word concept means a notion or abstraction which is generally accepted.

Accounting concepts provide unifying structure to the accounting process and accounting reports.



# ACCOUNTING CONCEPTS

## Importance of Accounting Concepts

- Accounting concepts define the assumptions used to prepare financial statements for a business entity.
- These concepts provide a unified structure and internal logic to the accounting process.
- Concepts in accounting are universal ideas or notions that guide the interpretation of financial transactions and govern accounting methods.
- They serve as fundamental assumptions and conditions upon which the field of accountancy is built.
- Unlike physical science, accounting concepts are not absolute truths but rather the result of a broad consensus within the accounting profession.
- These concepts serve as the foundation for the formulation of accounting principles.

# ACCOUNTING CONCEPTS

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- **Separate Business Entity**
- **Going Concern Concept**
- **Accounting Period Concept**
- **Money Measurement Concept**
- **Cost Concept**
- **Objectivity Concept**
- **Matching Concept**
- **Accrual Concept**
- **Realisation Concept**
- **Dual Aspect Concept**

# ACCOUNTING CONVENTIONS

## Accounting Conventions

The word convention refers to traditions or usage.

The accounting conventions are the usage or practices which are followed as a guide to the preparation of accounting statements.

The utility of these accounting conventions have been recognised by regulatory authorities of accountancy in making financial statements more realistic, reliable, and useful to all concerned parties

# ACCOUNTING CONVENTIONS

**The important accounting convention are explained as follows**

1. **Convention of Materiality Concept**
2. **Convention of Conservatism**
3. **Convention of Consistency**
4. **Convention of Full Disclosure**



# Types of Accounts

# ACCOUNT



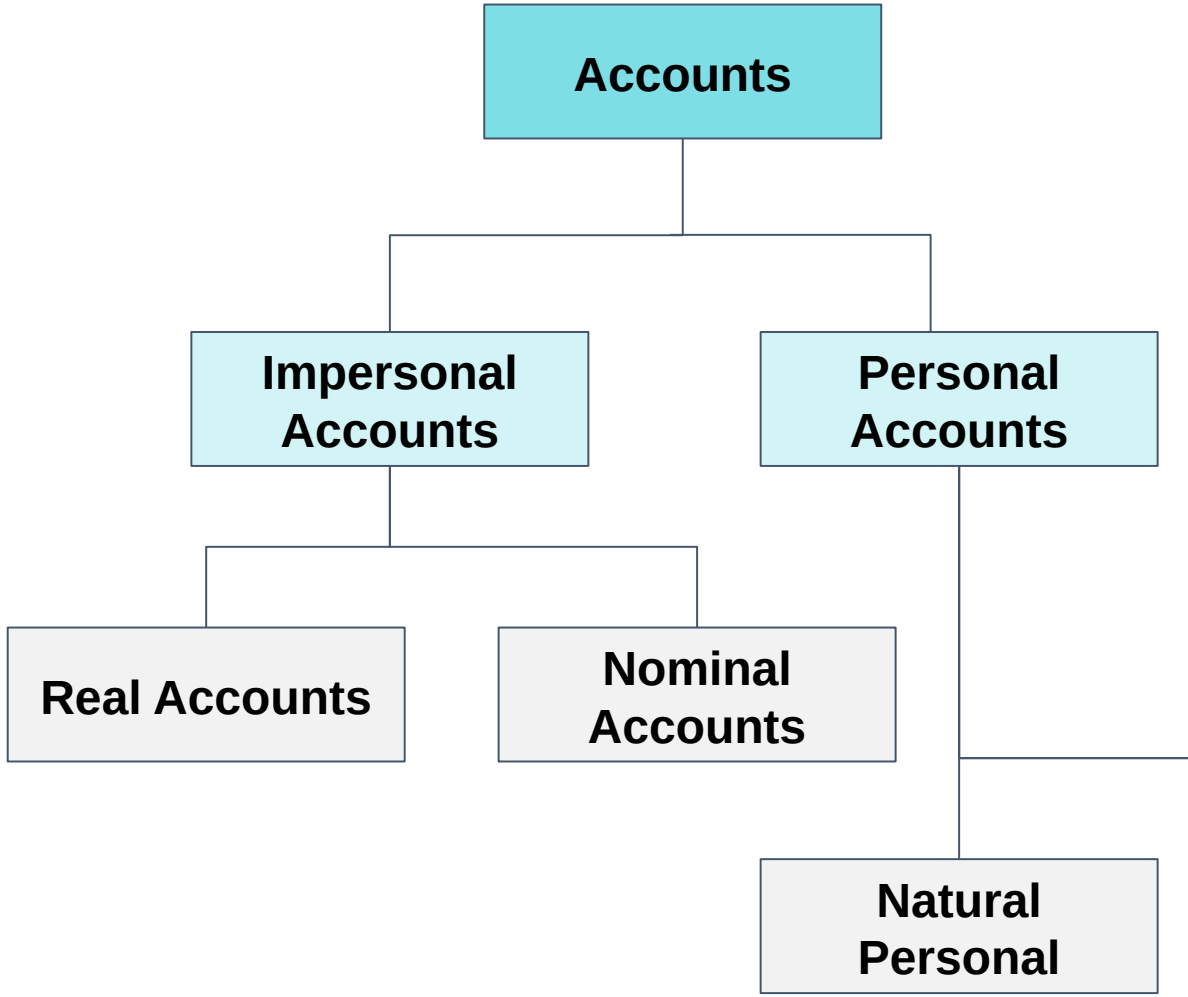
Every transaction has two aspects and each aspect affects minimum one account.

An account is the basic unit of identification in accounting.

A ledger account is a summary of relevant transactions at one place relating to a particular head.

Account is the systematic presentation of all material information regarding a particular person or item at one place, under one head

# TYPES OF ACCOUNTS




In traditional approach ,the ledger accounts are classified as “Personal” and “Impersonal accounts”.

The accounting rules of debit and credit under the Traditional approach are called as golden rules.

# TYPES OF ACCOUNTS IN A BUSINESS

**The entity concept separates the concerns of the owners from the business. All accounts within the organization can be split into three types. An account can be of one and only one of the following type and not more**

| Accounts | Meaning |
|---|---|
| 1 Personal | Personal accounts deal with accounts relating to individuals, companies, firms and banks. |
| 2 Real | Real accounts are accounts which have been created to account for tangible things. Examples - land and building, machinery a/c etc |
| 3 Nominal | Nominal accounts are special category of accounts. While the other accounts can hold balance and carry it forward, nominal account are automatically reset to zero as soon as the time period is over. Their balance is carried forward to other accounts and the books for that period are closed. Examples - Profit a/c, depreciation a/c etc. |

# PERSONAL ACCOUNTS

**Personal accounts are further classified into three categories**

| | | |
|---|---|---|
| 1 | **Natural Personal accounts** | Relates to individuals or natural persons |
| 2 | **Artificial personal accounts** | Relate to artificial persons recognized by las as persons. Example – ABC pvt Ltd. Morgan Stanley. Citi Bank etc. |
| 3 | **Representative personal account** | Group of representatives such as debtors, creditors, outstanding expenses and prepaid insurance etc. |

# RULES OF DEBIT AND CREDIT UNDER THE TRADITIONAL APPROACH

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## Personal Account

- Debit the Receiver
- Credit the Giver

**Example**
- Natural Persons - John, Suresh etc
- Artificial Persons - Organisations - JPMC, Blackrock



## Real Account

- Debit what comes in
- Credit what goes out

**Example**
- Machinery Account
- Investments A/c



## Nominal Account

- Debit all expenses/losses
- Credit all income/gains

**Example**
- Audit Expenses
- Interest Income
- Dividend Income
- Advisory Fees Exp

# THE GOLDEN RULES OF ACCOUNTING

**The golden rules of accounting require that you ascertain the type of account in question. Each account type has its rule that needs to be applied to account for the transactions.**

| Golden Rule | Principle usage |
|---|---|
| 1 **Debit The Receiver, Credit The Giver** | Applied in case of personal accounts. An inflow from a person is given credit in the book of accounts and vice versa |
| 2 **Debit What Comes In, Credit What Goes Out** | Applied in case of real accounts. They have a debit balance by default |
| 3 **Debit All Expenses And Losses, Credit All Incomes And Gains** | Applied in case of nominal account. The capital of the company is a liability and a default credit balance. Crediting incomes and gains, increases the capital and debiting expenses and losses, decreases the capital. |

# RULES OF DEBIT AND CREDIT UNDER THE MODERN APPROACH

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| | Examples | Increase | Decrease |
|---|---|---|---|
| **Assets** | Investments, Receivables, Cash & Bank Balance | Debit | Credit |
| **Liabilities** | Loan, Payables. | Credit | Debit |
| **Capital** | Owners Equity & Retained Earnings | | |
| **Income** | Interest Income, Dividend Income, Profit on Sale of Investments | Credit | Debit |
| **Expenses** | Audit Fees Exp, Advisory Fees Exp, Interest Expense, | Debit | Credit |




# Accounting Cycle

# ACCOUNTING CYCLE



Accounting cycle is the sequence of steps involved in the accounting process.

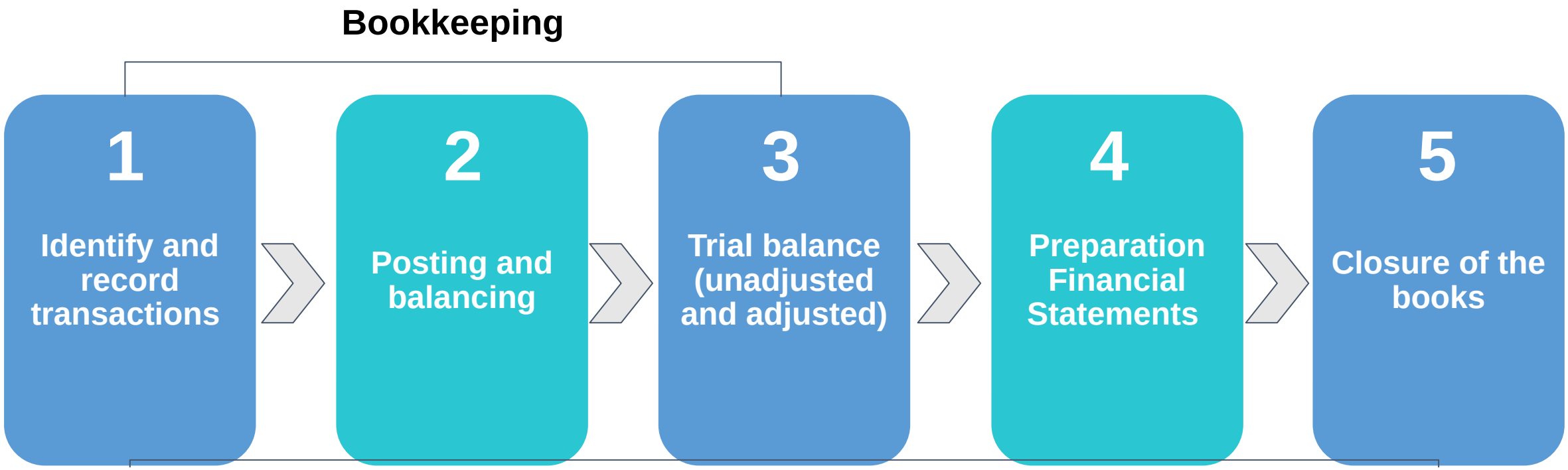
Accounting cycle starts with the identification & recording of financial transactions of an organization and ends with the preparation of final accounts for the accounting year.

The cycle continues for the next accounting year with the opening balances of assets and liabilities which are the closing balances of the preceding year.

# ACCOUNTING CYCLE

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## The steps involved are:



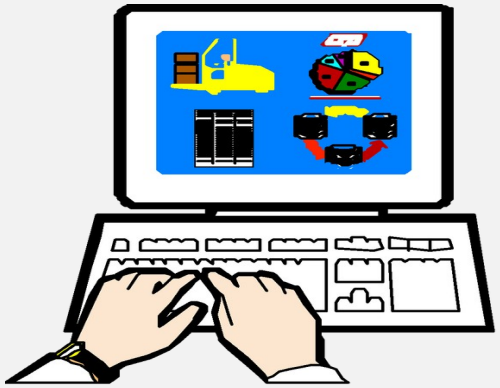
# ACCOUNTING PROCESS

## Identification




Select economic events (transactions)

## Recording



Record, classify, and summarize

## Communication



Prepare accounting reports



Analyse and interpret for users

# STEPS IN JOURNALISING

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1

**Analyze the Transactions**

Analyze the transactions and identify the accounts involved

2

**Classify the Accounts**

Classify the identified accounts under Personal account, Real account or Nominal account

3

**Apply the Rules**

Apply the rules of debit and credit.

4

**Identify Debit and Credit**

Find which account is to be debited and which account is to be credited

5

**Write the Narration**

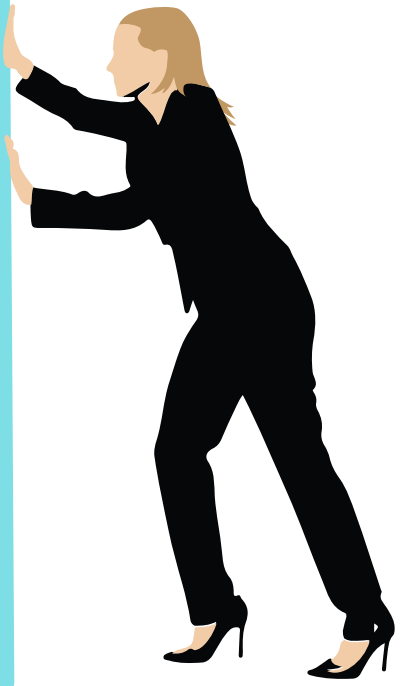
Write the narration within brackets.

# LEDGER

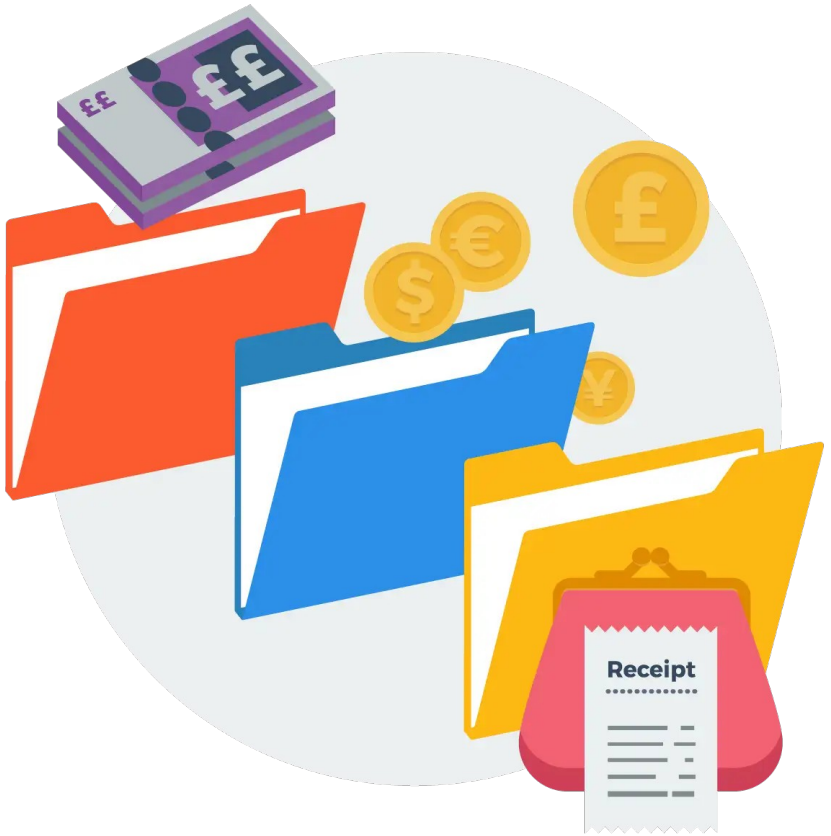


Ledger is a summary of all the transactions relating to capital, asset, liability, expense or revenue which has taken place during a given period of time.

All the transactions recorded in the journal, are posted to the ledger account. Ledger is known as principal book of accounts.



# THE OBJECTIVES OF LEDGER




- Provides quick information about a particular account like sales, purchases, machinery, etc.
- Facilitates control over business transactions be enabling carrying out of analysis from the extracts of ledger
- Facilitate preparation of Trial balance from the closing balances of the ledger account

# LEDGER

| Account # | | | Title of Account | | | | Page # |
|---|---|---|---|---|---|---|---|
| *Date* | *Description* | *Ref* | *Amount* | *Date* | *Description* | *Ref* | *Amount* |
| | | | | | | | |
| | | | | | | | |
| | | | | | | | |
| | Total | | | | Total | | |

# PROCEDURE FOR POSTING

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1

Posting refers to the process of transferring the debit and credit items from the journal to the ledger accounts

2

Locate the ledger account mentioned in the journal entry that needs to be posted

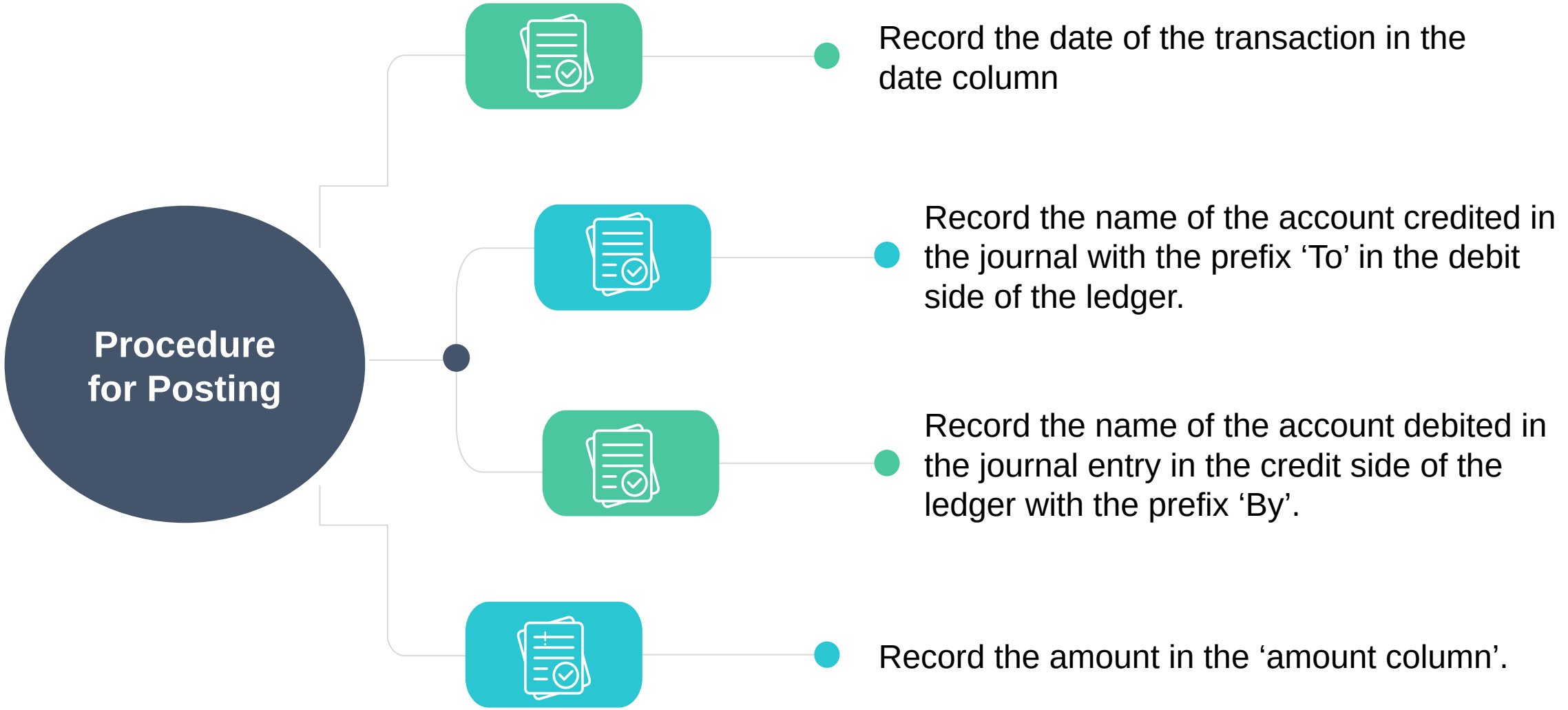
3

If the ledger account has not been opened already, open a new account in the ledger for the specific account title

4

Transfer the debit and credit amounts from the journal entry to the respective ledger account.

# PROCEDURE FOR POSTING



# BALANCING OF LEDGER ACCOUNTS

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After posting the transactions, the management is keen to know the position of various accounts.

01

For this purpose, the accounts are balanced at the end of the accounting period or after a certain period to ascertain the net balance in each account.

02



# BALANCES IN THE LEDGER ACCOUNTS

## Balancing Nominal Accounts

1

**Nominal Accounts**: These are temporary accounts related to income (revenue) and expenses.

2

**Closing Entries:** At the end of the accounting period, nominal accounts are closed by transferring their balances to the P&L account.

3

**Revenue Accounts:** Have credit balances. Transfer them to the credit side of P&L.

4

**Expense Accounts:** Have debit balances. Transfer them to the debit side of P&L.

5

**P&L Balance:** The difference between total income and total expenses.

**If income > expenses**, the **profit** is transferred to the capital account.
**If expenses > income,** the **loss** is transferred to the capital account.

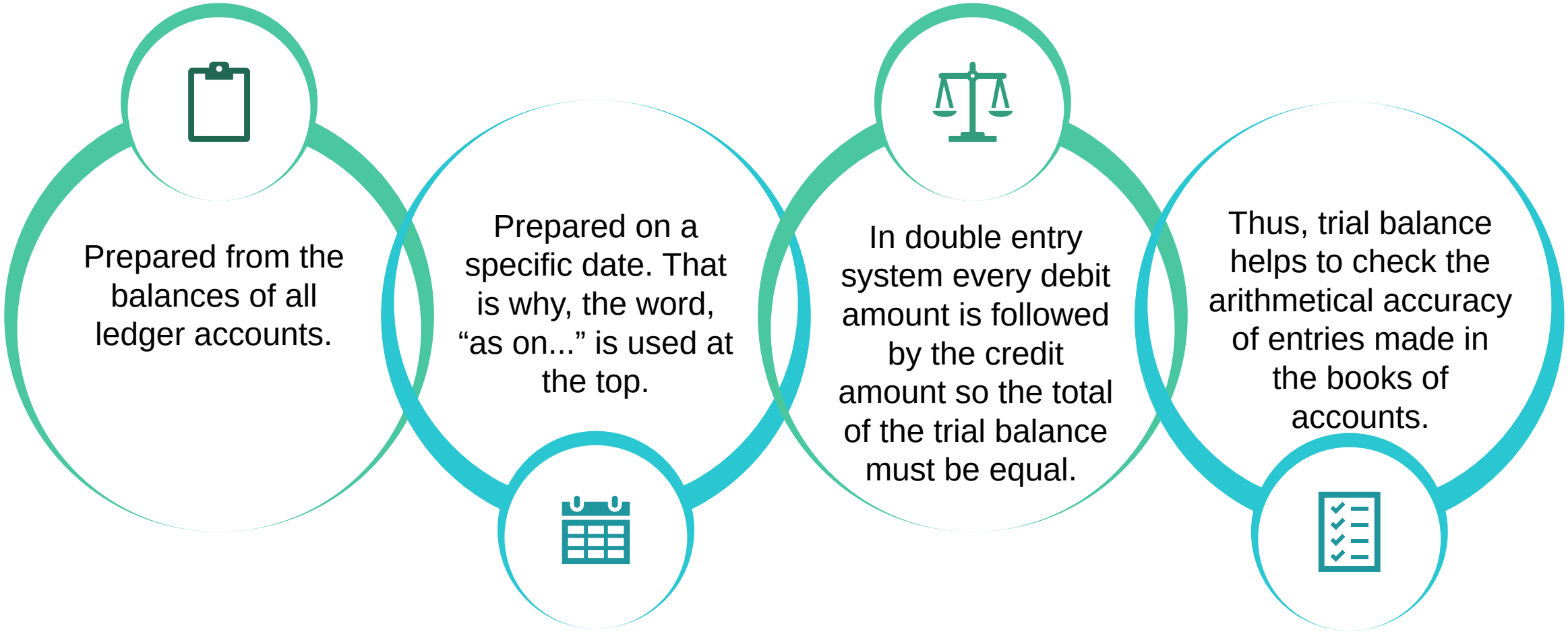
# TRIAL BALANCE

A trial balance is a statement, prepared with the debit and credit balances of the ledger accounts to test the arithmetical accuracy of the books”.

**– J.R. Batliboi**



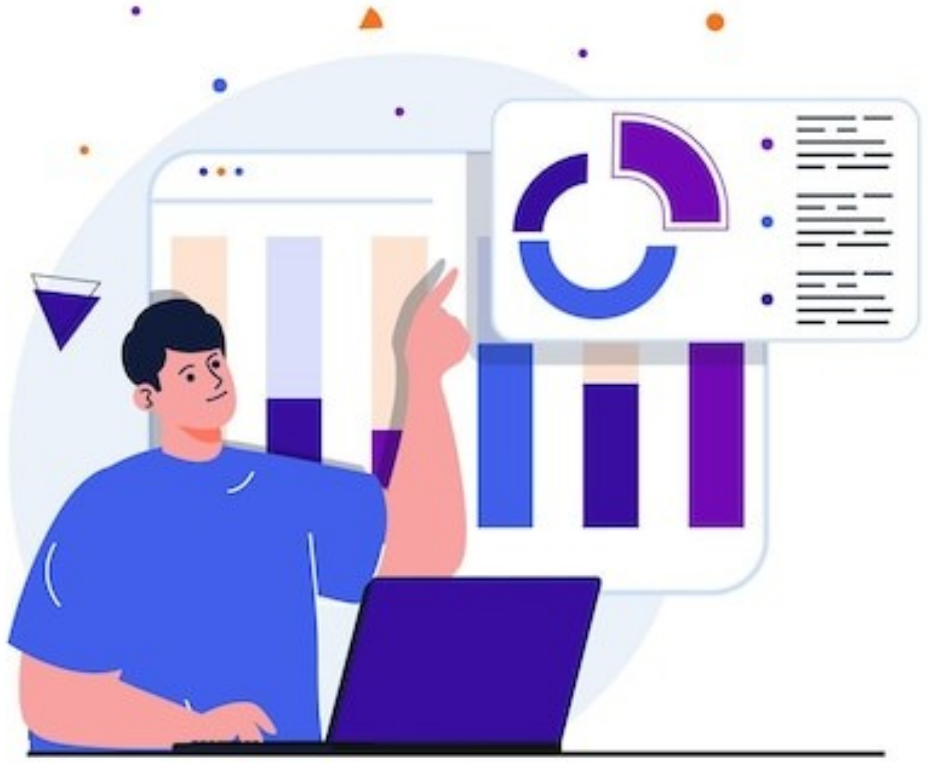
# FOLLOWING ARE THE FEATURES OF TRIAL BALANCE



# TRIAL BALANCE OF FUND COMPANIES

| Trial Balance of Fund Companies | | | |
|---|---|---|---|
| Sl No | Name of the A/c | Debit Balance | Credit Balance |
| 1 | Bank A/c | 50000000 | |
| 2 | Investors Captial A/c | | 50000000 |
| 3 | Apples Shares Investment A/c | 6500000 | |
| 4 | JPMC A/c | | 5000000 |
| 5 | 12% GM Motors Bonds Investment A/c | 9500000 | |
| 6 | Goldman Sachs | | 10000000 |
| 7 | Audit Fees | 274 | |
| 8 | RTA Fees | 411 | |
| 9 | Legal Advisor Fees | 274 | |
| 10 | Fund Administrator Fees | 685 | |
| 11 | Investment Advisory Fees | 274 | |
| 12 | Regulatory Fees | 137 | |
| 13 | Asset Management Fees | 959 | |
| 14 | Accrued Expenses Payable | | 3014 |
| 15 | Accrued Income Receivable | 1328767 | |
| 16 | Interent Income | | 328767 |
| 17 | Dividend Income | | 1000000 |
| 18 | Unrealised MTM Gains A/c | | 1500000 |
| 19 | Unrealised MTM Loss A/c | 500000 | |
| | **Total** | **67831781** | **67831781** |

# ACCRUAL OR MERCANTILE BASIS





As defined by “ICAI” The ‘accrual basis of accounting’ includes considerations relating to deferrals, allocations, depreciation and amortization. This basis is also referred to as mercantile basis of accounting. Therefore, on the basis of above definition of accrual basis of accounting, the revenue whether received or not, but earned or accrued during the accounting period and expenses incurred whether paid or not are recorded

# BASIS OF ACCOUNTING

**There are two basis of accounting in common usage, namely**

## Cash basis

Method of recording transactions by which revenues and costs and assets and liabilities are reflected in the accounts in the period in which actual receipts or actual payments are made

a. Any income received in Cash;
b. Any expenditure paid in Cash;
c. Any asset purchased for which cash is paid and
d. Any liability paid in Cash.

During the accounting period whether related to the past, present or future is recorded

## Accrual or mercantile basis

Method of recording transactions where revenues, costs, assets, and liabilities are reflected in the accounts during the period in which they are earned or incurred, regardless of when the actual receipts or payments occur.

a. Any income earned whether received or not
b. Any expenditure incurred whether paid or not
c. Any asset purchased whether cash is paid or not
d. Any liability incurred whether paid or not

During the accounting period is recorded.

# BASIC ACCOUNTING EQUATION

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**Assets** = **Liabilities** + **Owners Equity**

- **Assets** are resources owned by a business.
- They are things of value used in carrying out such activities as production and exchange.

- **Liabilities** are claims against assets.
- They are existing debts and obligations

- In other words, all the Assets of the company can be represented by adding what the company owes to others (Liabilities) and what the owner of the company has claim to (Equity).
- Assets are either owed (Liability)or owned (Equity) - there are no other options. So you have Assets on the left, and Liabilities and Equity on the right. These 2 amounts always balance.

# OWNERS EQUITY

**Owner’s Equity is equal to total assets minus total liabilities. Owner’s Equity represents the ownership claim on total assets.**

1

- **Investments** by owner are the Funds/Assets put into the business by the owner. These investments in the business increase owner’s equity.

2

- **Revenues** are the gross increases in owner’s equity resulting from business activities entered into for the purpose of earning income.
- Revenues may result from Interest Income/Dividend Income/ Profit on sale of Investments.
- Revenues usually result in an increase in an asset

3

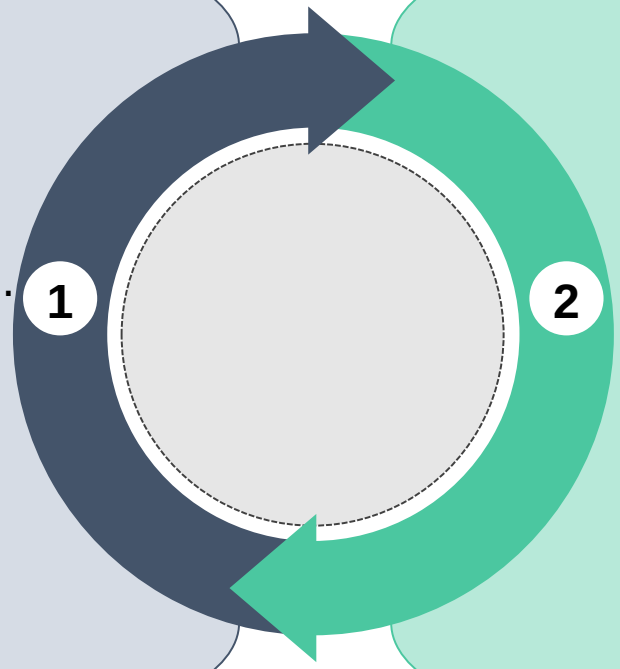
- **Distributions** are withdrawals of cash or other assets to the Owners in form of Dividends or Return of Capital. Distributions decrease total owner’s equity.

4

- **Expenses** are the decreases in owner’s equity that result from operating the business.
- Expenses are the cost of assets consumed or services used in the process of earning revenue.
- Examples of expenses include Audit/Legal/Investment Advisory Fees expense, rent expense, and supplies expense.

# ASSETS AND DEBITS

When you sell something you either acquire cash or a receivable in return.
So revenue increases your Assets.
Assets are increased by Debits.
So that means revenue must always be a Credit.
Dr. Cash $1,000
Cr. Interest Income $1,000




What if you're increasing one Asset while at the same time decreasing another Asset?
Well the Asset that's increasing is Debited and the Asset that's decreasing is Credited
(remember Assets are natural Debit accounts, Debits make them bigger).

Dr. Shares Investments $70,000
Cr. Cash $70,000

**Revenue must always be a Credit.**

# ASSETS AND CREDITS

- When you buy something you're paying cash and decreasing your Assets.
- So incurring expenses can decrease your Assets.
- Assets are decreased by credits.
- So that means expenses must always be a debit.
- Dr. Legal Fees Expenses $700000
- Cr. Cash/Bank  $700000



**Expenses must always be a debit**

# LIABILITIES AND CREDITS

1

- Liabilities are the opposite of Assets.
- They are Credit accounts.
- Credits make them bigger; Debits make them smaller.
- Since Liabilities are a Credit account then every time we increase a Liability, we must record a matching Debit.

2

- ABC buys something without using cash, or cheque. So if you're not using cash then you must be using a loan.
- Loans are a Liability and Liabilities are Credits.
- So increasing your loans means increasing your Credits.
  - Dr. Purchase of Investments(Shares) $5000
  - Cr. Creditors/Accounts payable $5000

**Expenses are always a debit**

# DEBITS AND CREDITS

## Example 1

1. If you get a loan, you increase your Assets (cash) and increase your Liability (long-term debt)

2. Assets are Debit accounts, Debits make them bigger.
Liabilities are Credit accounts, Credits make them bigger

**Dr. Cash/Bank $500,000**

**Cr. Long-term Loan $500,000**

## Example 2

**So how do you decrease a Liability?**

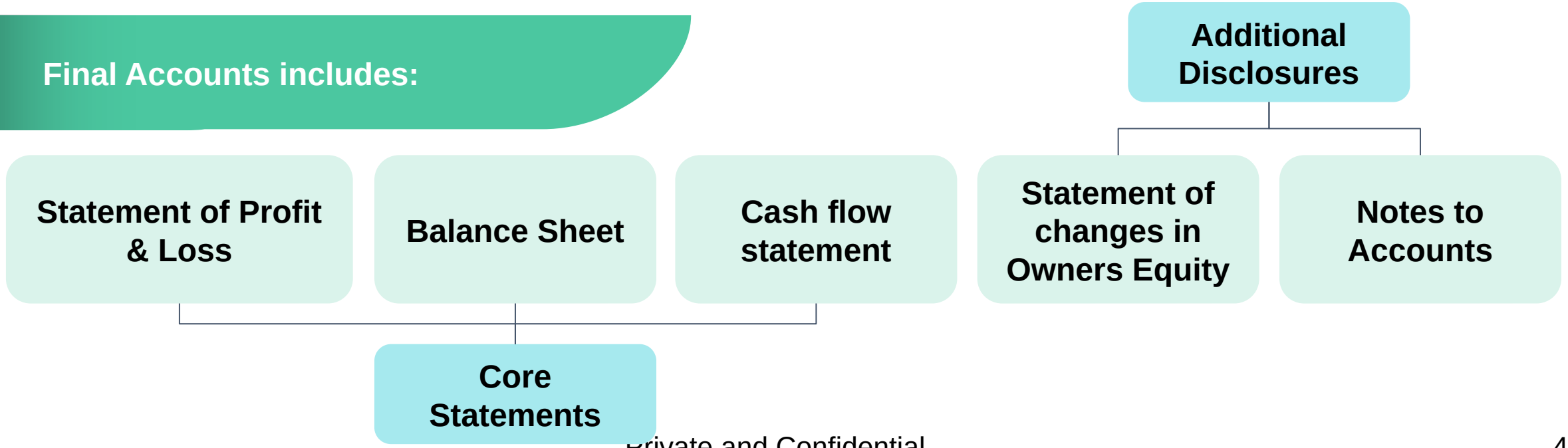
- You have to use some Assets to pay off the loan.
- So when Liabilities are decreased Assets also decrease.
- Assets are Debit accounts, Credits make them smaller.
- Liabilities are Credit accounts, Debits make them smaller

| | |
|---|---|
| **Dr. Accounts payable $1,50,000** | **Cr. Cash/Bank $1,50,000** |

# FINAL ACCOUNTS

Final Accounts is the ultimate stage of accounting process where the balance of different ledgers shown in the Trial Balance of the business organization are presented in the specified way to provide the profitability and financial position of the entity for a specified period to the stakeholders and other interested parties.

## Final Accounts includes:



# FINAL ACCOUNTS



1. **Initially**, the transactions are recorded **in the Journal** of the company, which is then reflected in the individual ledgers.

2. The **closing balance** of these ledger are shown in the **Trial Balance**, which exhibits equal debit and credit side for the period.

Final accounts are prepared which includes Trading Account for calculation of Gross profit (now generally inclusive with the statement of profit & loss), Statement of Profit & Loss for net profit earned during the period, Balance Sheet which provide the Assets, Liabilities and Capital of the entity at the end of the financial year and cash flow statement which shows how the company generated and utilized cash during that period

# THE PURPOSES OF PREPARING THE FINANCIAL STATEMENTS ARE



1

To ascertain the financial performance of an enterprise

2

To ascertain the financial position of an enterprise.

# FINANCIAL STATEMENTS

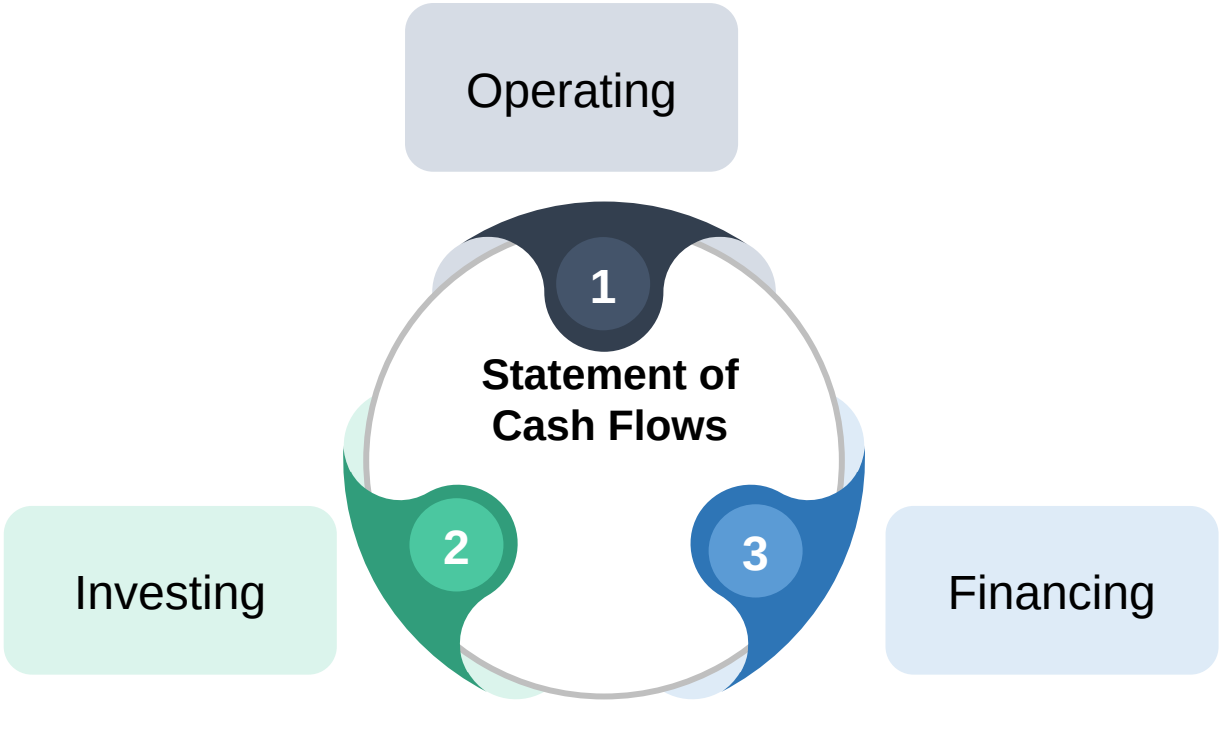
**Financial Statements are a record of the financial activities of a business**

**Balance Sheet**

- Assets
  - Liabilities
  - Equity

**Income Statement**

- Revenues
  - Expenses
  - Profit or loss




Financial Statements are a tool to analyze your company's performance.

# INCOME STATEMENT

**Also known as statement of operations or Statement of Profit and loss.**



Revenues/Incomes
Operating Expenses
Operating Income
Taxes
Net Income

**The "what did we do" statement** 1

Necessary for a company to produce the balance sheet

**Income – expenses = net income** 2

Detailed items that make up the retained earnings are shown in the Income statement

**Financial Statements are a tool to analyze your company's performance.**

# PROFIT & LOSS STATEMENT - EXAMPLE

| Profit & Loss Statement of Fund Companies (Amount in US$) | | |
|---|---|---|
| | | |
| **INCOMES:** | **Amount** | **Amount** |
| | | |
| Dividend Income | 1000000 | |
| Interest Income | 328767 | |
| MTM Unrealized Gain | 1500000 | |
| **Total Income** | | **2828767** |
| | | |
| **EXPENSES:** | | |
| | | |
| Audit Fees | 274 | |
| RTA Fees | 411 | |
| Legal Advisor Fees | 274 | |
| Fund Administrator Fees | 685 | |
| Investment Advisory Fees | 274 | |
| Regulatory Fees | 137 | |
| Asset Management Fees | 959 | |
| Realized Loss on Sale of Investments | 500000 | |
| **Total Expenses** | | **503014** |
| | | |
| **Net Profit or Loss** | | **2325753** |

# BALANCE SHEET

**Also known as Statement of Financial Position**

Assets = Liabilities + Equity

**Consists of**

1. **Assets** — What a company owns
2. **Liabilities** — What it owes
3. **Equities** — What its worth

**(Hence "balance" sheet}**

At a particular point of time

# BALANCE SHEET

| BALANCE SHEET (FUNDS COMPANIES) | AMOUNT IN US$ | |
|---|---|---|
| **ASSETS** | | |
| Cash & Bank Balance | | 50000000 |
| **Current Market Value of Investments** | | |
| a) Apple Shares Cost | 5000000 | |
| Unrealized MTM Gain | 1500000 | 6500000 |
| | | |
| b) GM Motors Bonds | 10000000 | |
| Unrealized MTM Loss | -500000 | 9500000 |
| Trade Receivables | | 20000000 |
| Accrued Income Receivable | | 1328767 |
| | | |
| **TOTAL ASSETS** | | **87328767** |
| | | |
| **LIABILITIES & EQUITY** | | |
| Trade Creditors | | |
| JPMC Payable | 5000000 | |
| Goldman Sachs Payable | 10000000 | 15000000 |
| | | |
| Accrued Expenses Payable | | 3014 |
| | | |
| **TOTAL LIABILITIES** | | **15003014** |
| | | |
| **OWNERS EQUITY** | | |
| Original Capital Contribution | 70000000 | |
| Profit or Loss | 2325753 | **72325753** |
| **TOTAL LIABILITIES + EQUITY** | | **87328767** |

# CASH FLOW STATEMENT

**The cash flow statement is usually prepared using cash and cash equivalents as its basis.**

Cash equivalents are **short-term, highly liquid** investments that are both

1. Readily convertible to known amounts of cash, and
2. so near to their maturity that their market value is relatively insensitive to changes in interest rates

1

- The primary purpose of the cash flow statement is to provide information about the Cash receipts and Cash payments of an entity during a period

2

- A secondary objective is to Provide information about its
  - Operating activities
  - Investing activities
  - Financing activities

# CASH FLOW STATEMENT

**Operating Activities**

**Include**
- Cash effects of transactions that create revenues and expenses and
- Enter into determination of net income (loss)

**Investing Activities**

**Include**
- Purchasing and disposing of investments and productive long-lived assets using cash and
- Lending money and collecting the loans

**Financing Activities**

**Include**
- Obtaining cash from issuing debt and repaying the amounts borrowed and
- Obtaining cash from owners/shareholders and paying them drawings/dividends



# Accounting Standards

# ACCOUNTING STANDARDS



Accounting standards specify how transactions and other events are to be recognized, measured, presented and disclosed in financial statements. Theirs main objective is to provide useful financial information to investors, lenders, creditors, contributors, and others for decision making.



The financial accounting, policies and the financial practices are based on the accounting standard. Accounting standards help to improve the transparency of the financial reporting in all the countries.

## International Accounting Standards Board (IASB)



- The **International Accounting Standards Board (IASB)** is an independent body, based out of London and formed in 2001 with the sole responsibility of establishing the International Financial Reporting Standards (IFRS).
- It succeeded the International Accounting Standards Committee (IASC).
- In addition, it also provides the ‘Conceptual Framework for Financial Reporting’ that serves as a guidance for conceptual understanding and the basis of the accounting practices under IFRS.

# GENERALLY ACCEPTED ACCOUNTING PRINCIPLES ( US GAAP)

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Generally accepted accounting principles, or GAAP, are standards that encompass the details, complexities, and legalities of business and corporate accounting.

1

2

The Financial Accounting Standards Board (FASB) uses GAAP as the foundation for its comprehensive set of approved accounting methods and practices.

U.S. law requires businesses releasing financial statements to the public and companies publicly traded on stock exchanges and indices to follow GAAP guidelines.

3

# PARAMETER OF COMPARISON GAAP AND IFRS




IFRS is the most widely used system in the world, with over 110 countries using this method of accounting for publicly traded companies.

The United States of America is the only country that is yet to make the switch to the IFRS method of reporting.

# PARAMETER OF COMPARISON GAAP AND IFRS

| Parameters | IFRS | GAAP |
|---|---|---|
| **Adoption** | Globally adopted method for accounting | Exclusively used within the US. |
| **Methodology** | Takes into account the overall patterns and is principle- based. | Focuses on research and is rule-based |
| **Developed by** | International Accounting Standard Board (IASB) | Financial Accounting Standard Board (FASB) |
| **Inventory Methods** | Last in first out (LIFO) method for inventory is **not allowed.** | LIFO method is used for inventory estimates |
| **Inventory Reversal** | The amount of the write-down **can** be reversed. | The amount of the write-down **cannot** be reversed |
| **Income Statements** | Extraordinary or unusual items are included in the income statement and not segregated | Extraordinary or unusual items are separated and shown below the net income portion of the income statement. |
| **Intangible Assets** | Takes into account whether an asset will have a future economic benefit as a way of assessing the value | Intangible assets are recognized at only the fair market value |
| **Fixed Assets** | Revaluation model. | Cost model. |
| **Development Costs** | Can be capitalized subject to fulfillment of certain criteria | Not allowed to be capitalized |



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# THANK YOU !!!

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